



How to do Idea / Market Validation

May 2025

HONG KONG'S LARGEST INNOVATION
& TECHNOLOGY ECOSYSTEM

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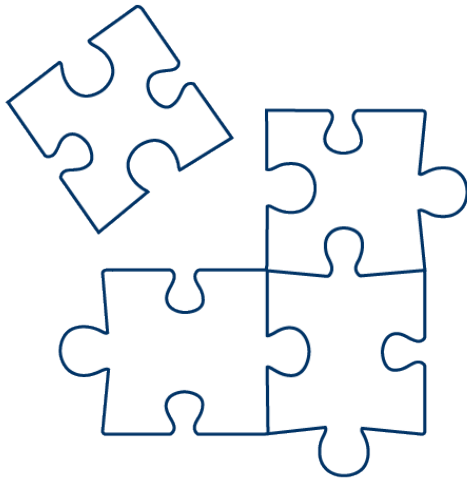
Idea / Market Validation



Why Startups Fail? The Importance of Product-Market Fit

TOP 20 REASONS STARTUPS FAIL

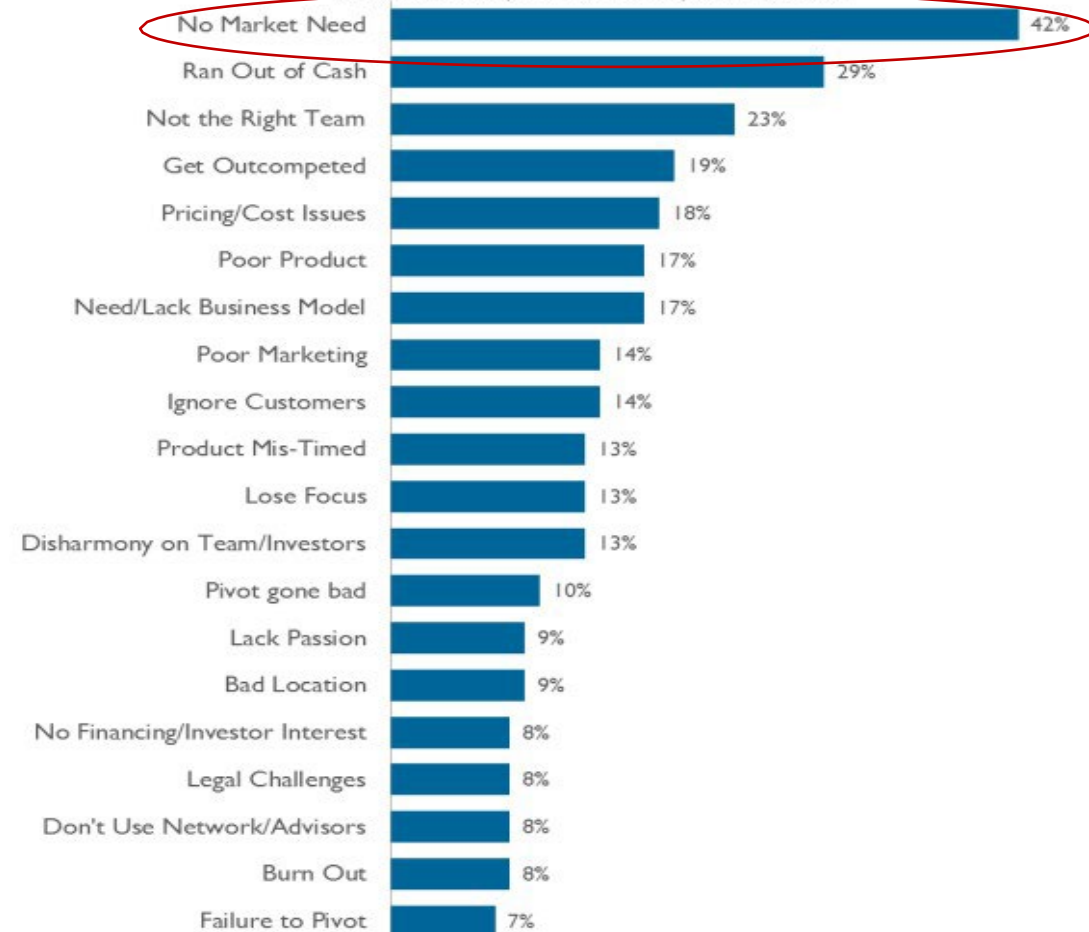
#1: No market need



CBINSIGHTS

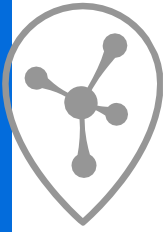
Top 20 Reasons Startups Fail

Based on an Analysis of 101 Startup Post Mortems



CBINSIGHTS

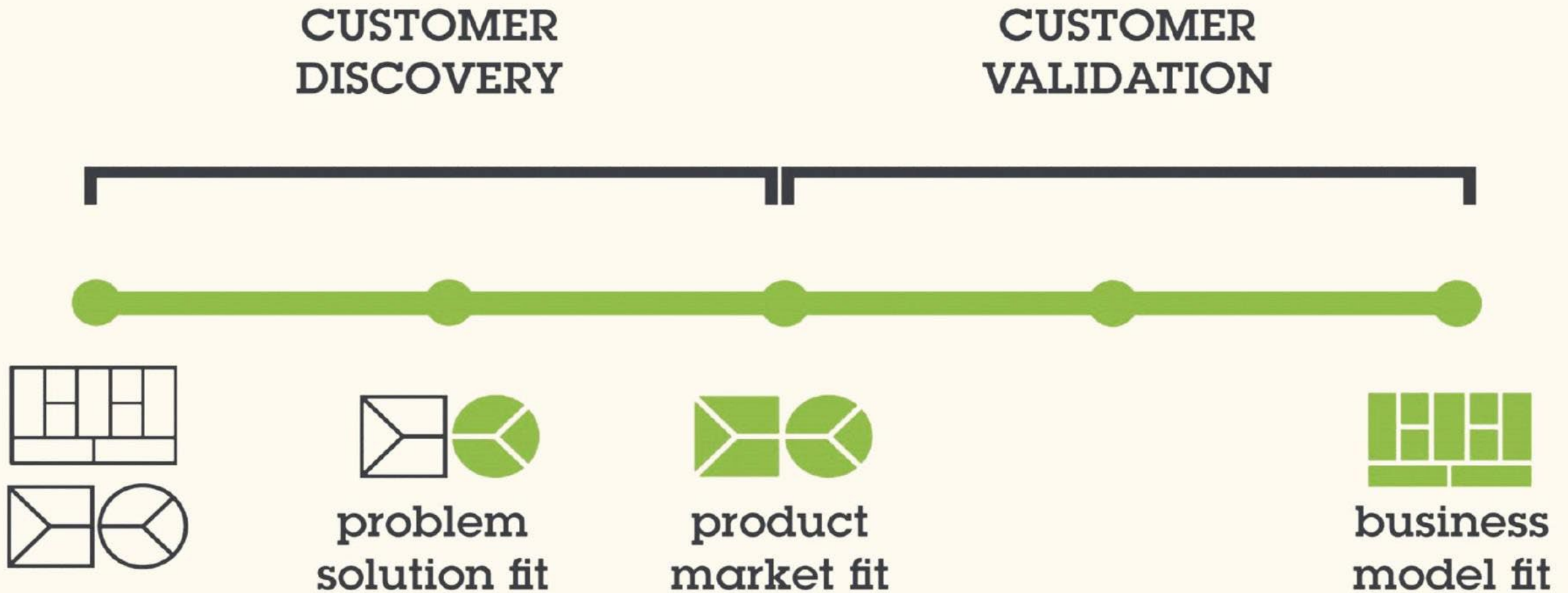
www.cbinsights.com



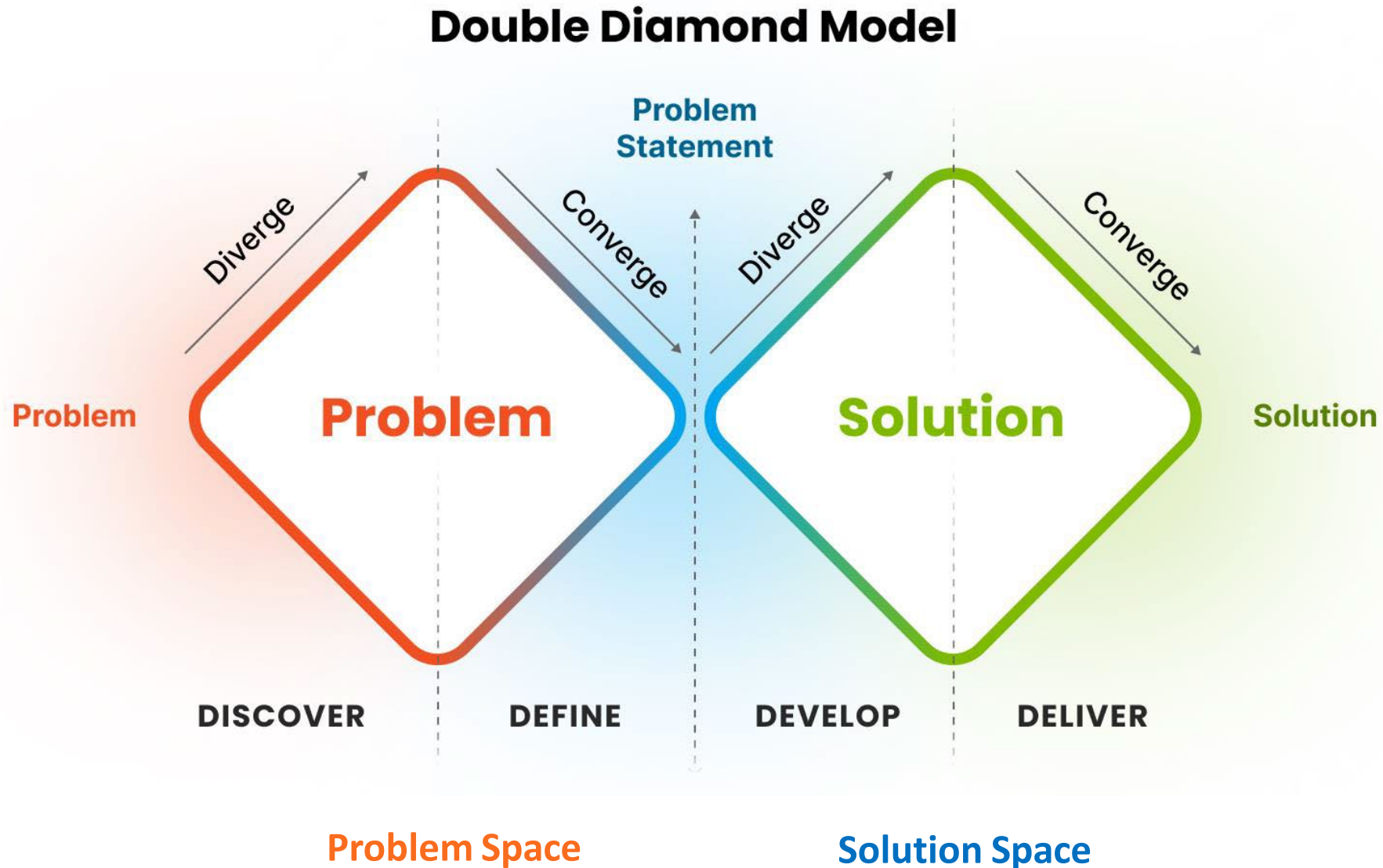
**Don't talk about solution.
Define Problem First**

https://www.youtube.com/watch?v=WnPjqt6vEzA&ab_channel=hugeshoesale

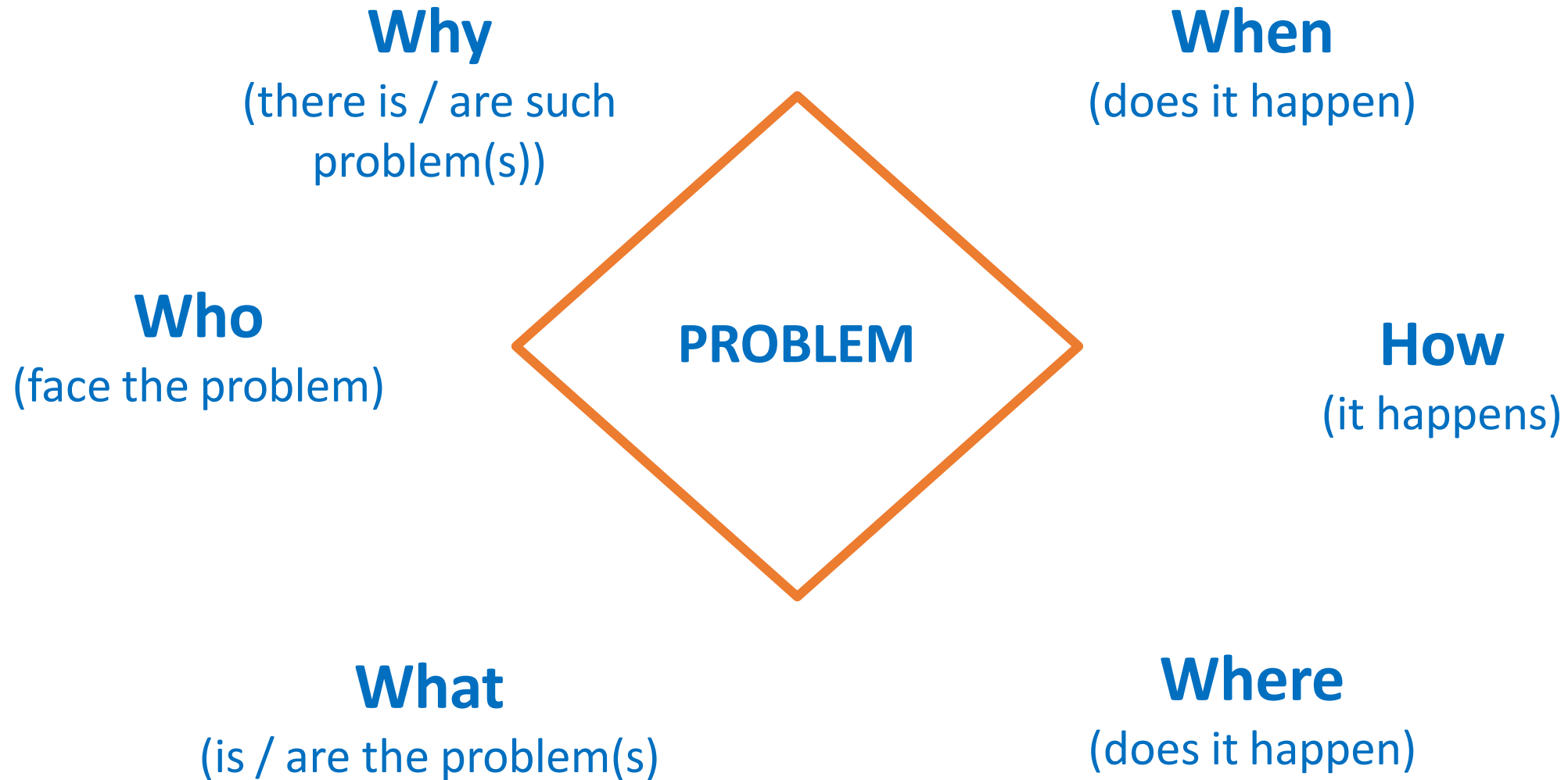
From Problem-Solution Fit to Product-Mkt Fit to Business Model Fit



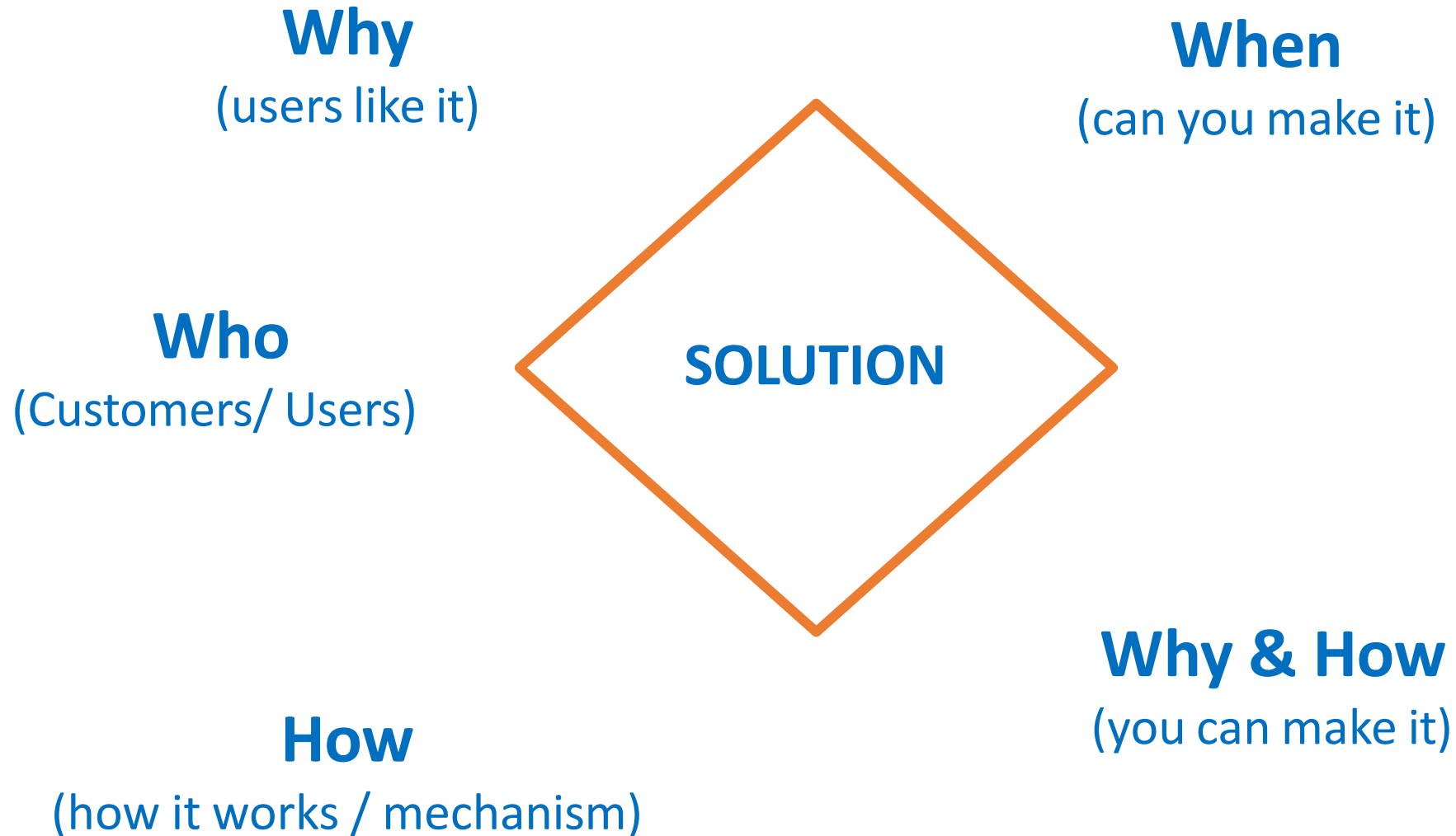
Discover & Define Problem Statement



Problem Space



Solution Space



5 “Why”s in Finding Problem-Solution Fit

This is what we expect in along your validation exercise:

1. Why the problem / opportunities exist
2. Why you think there are many people like you care about this problem / opportunity
3. Why validated users are excited about your value proposition (benefits / changes bring to them)
4. Why your collected feedbacks are valid
5. Why you think you can launch your proposed solution

Lean Canvas



Problem

What problems are people facing? List their top 3 frustrations.

Solution

How will you solve these problems? Write down a solution for each problem.

Unique Value Proposition

How will you turn an unaware visitor into an interested customer? Create a clear and compelling one-liner message you want to send across.

Unfair Advantage

What separates you from competitors? What makes you ahead of the pack?

Customer Segments

Create 3 to 4 personas of the people you can help. Visualize these people who will turn to you for solutions.

Existing Alternatives

How are these problems solved today? This can be a direct competitor to what you are offering or the existing ways people are employing to address their problems.

Key Metrics

How will you measure the success of your product or service? List the key metrics.

High Level Concept

How does your product or service fit into the grand scheme of things?

Channels

How will you reach your target consumers? Direct marketing, social media, ads, partnerships — identify the effective ways to reach them.

Early Adopters

What are the specific characteristics of your early adopters?

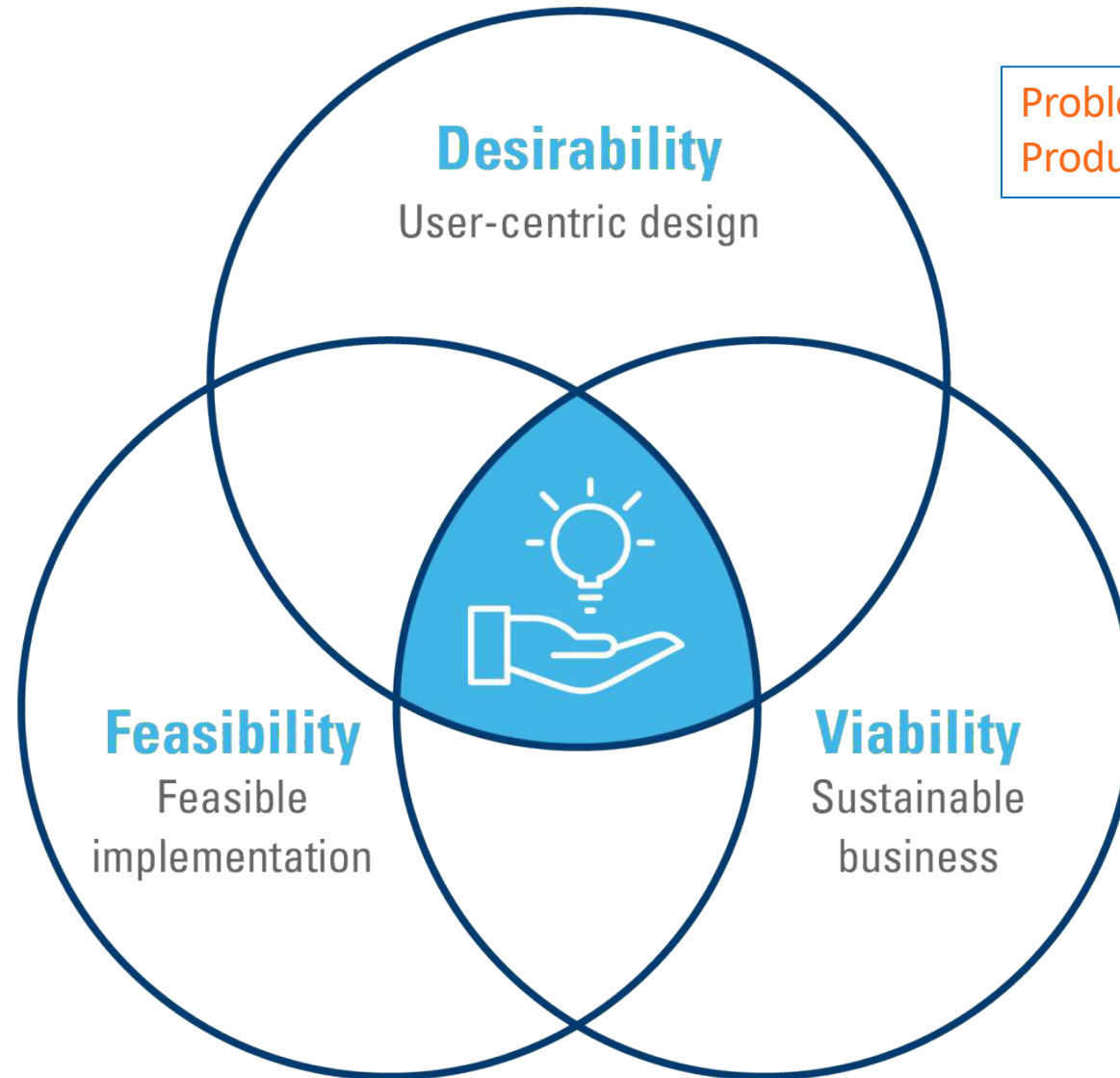
Cost Structure

What are the fixed and variable costs to launch your product or service? Consider the cost at each stage from setting up a website, hiring employees, production, marketing, and bringing them to consumers.

Revenue Streams

What money sources will grow your money? How will you generate income? Show a pricing model of your product or service and include other revenue sources, such as sales and subscription fees.

Desirability + Feasibility + Viability

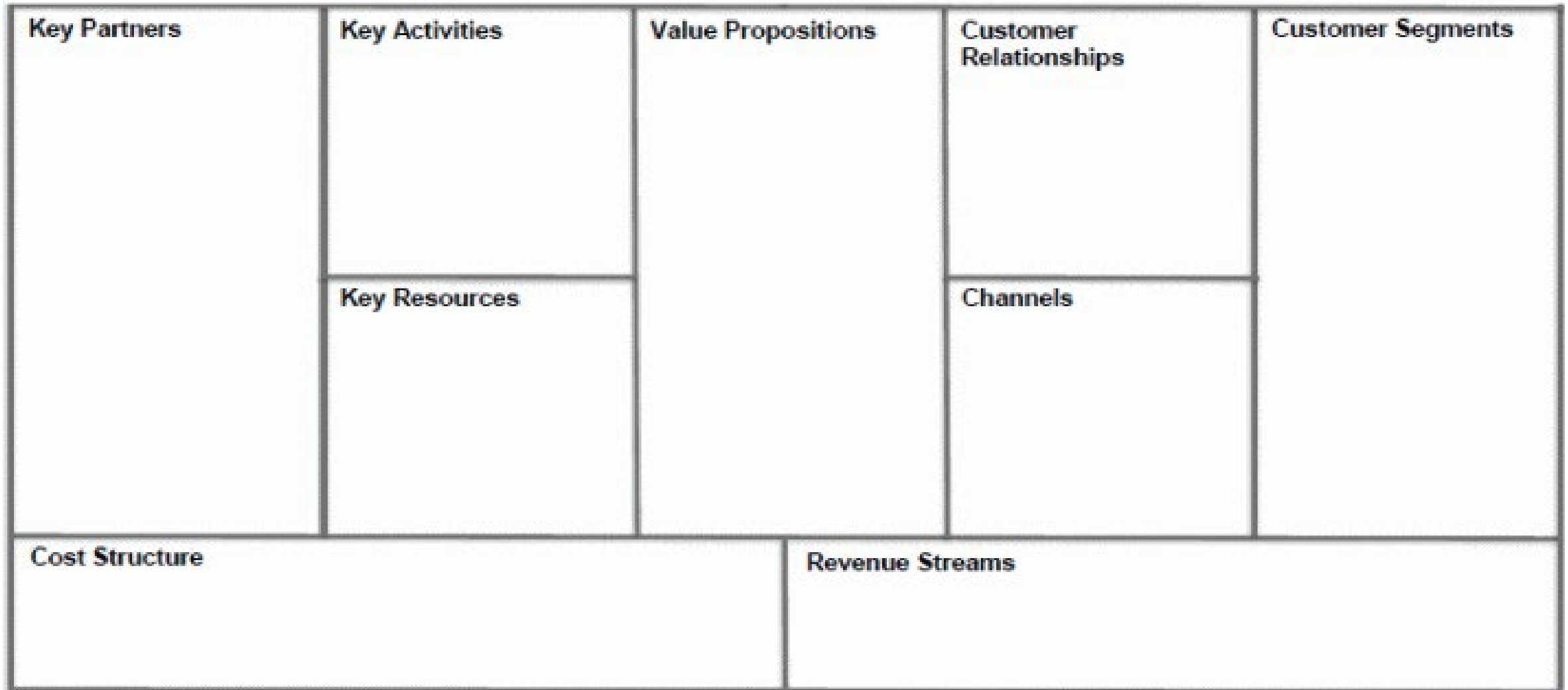


Problem-Solution Fit
Product-Market Fit

Agile Product / Tech
Development

Business Model Fit

Validation of Business Model (thru BMC)



Dissecting BMC

RHS of BMC – Capture & Deliver Value

Customer Relationships

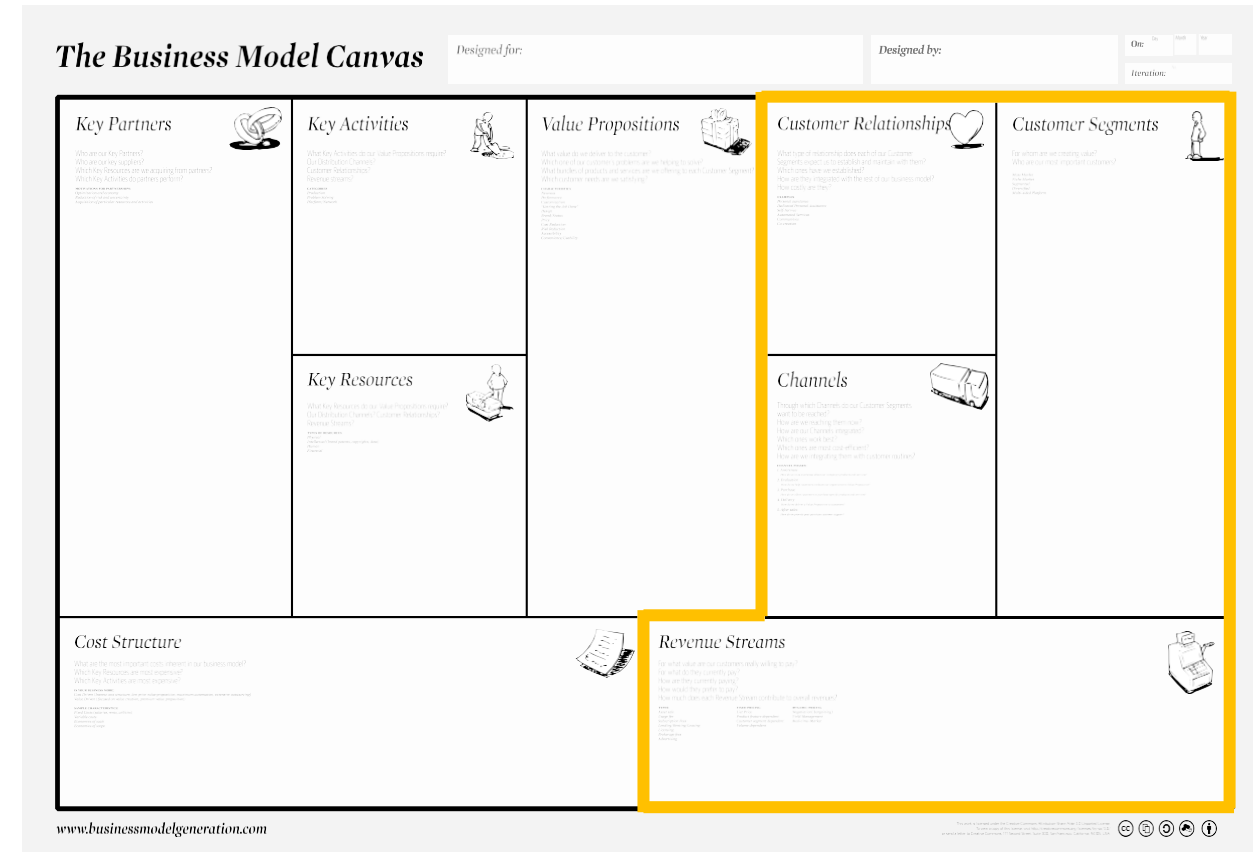
- How to Get, Keep & Grow Customers

Distribution Channels

- How to deliver products/fulfill service to Users

Revenue Model

- How do you make money? Who pay? How do you charge? (Pricing model, ARPU, net margins, etc)?
- Cost Associated with Customer Relationships/ Distribution Channels



Dissecting BMC

LHS of BMC – create value

Key Activities

- What need to be done to make the product/create the service offering

Key Resources

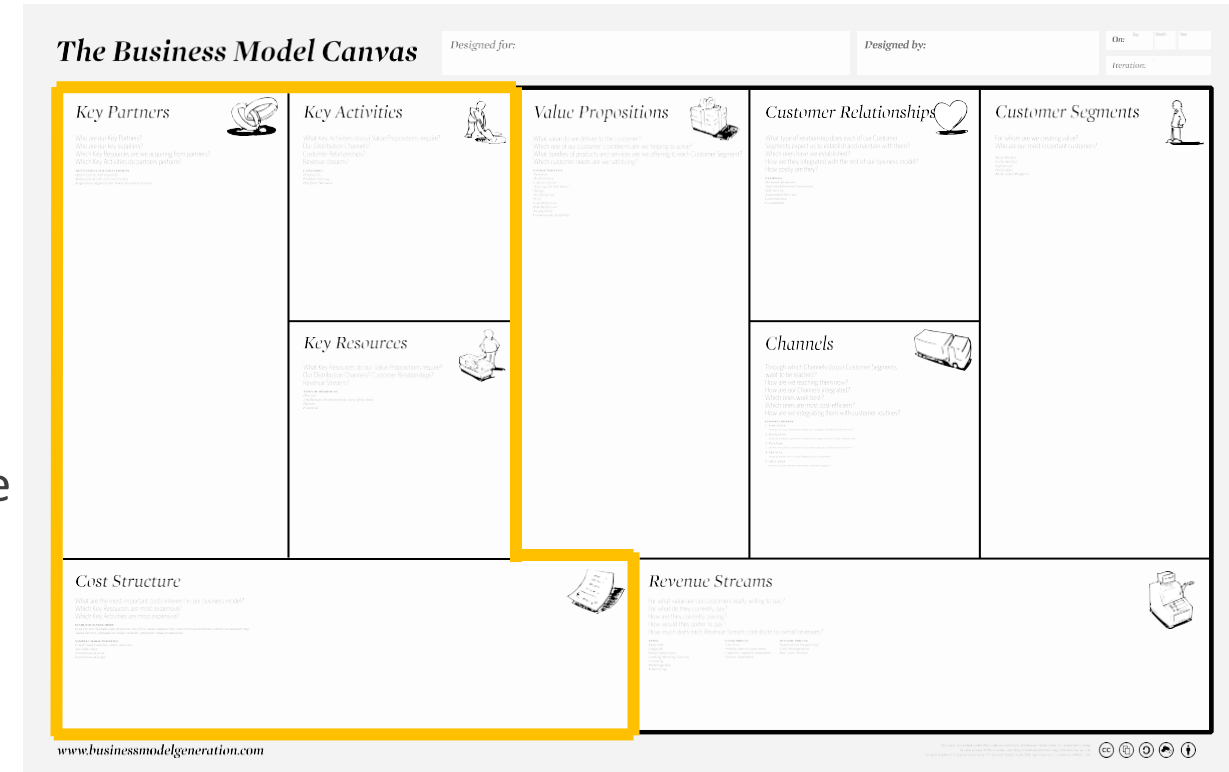
- What are most critically needed to perform these key activities

Key Partners

- Which activities/resources can/should we outsource to third parties ?

Cost Models

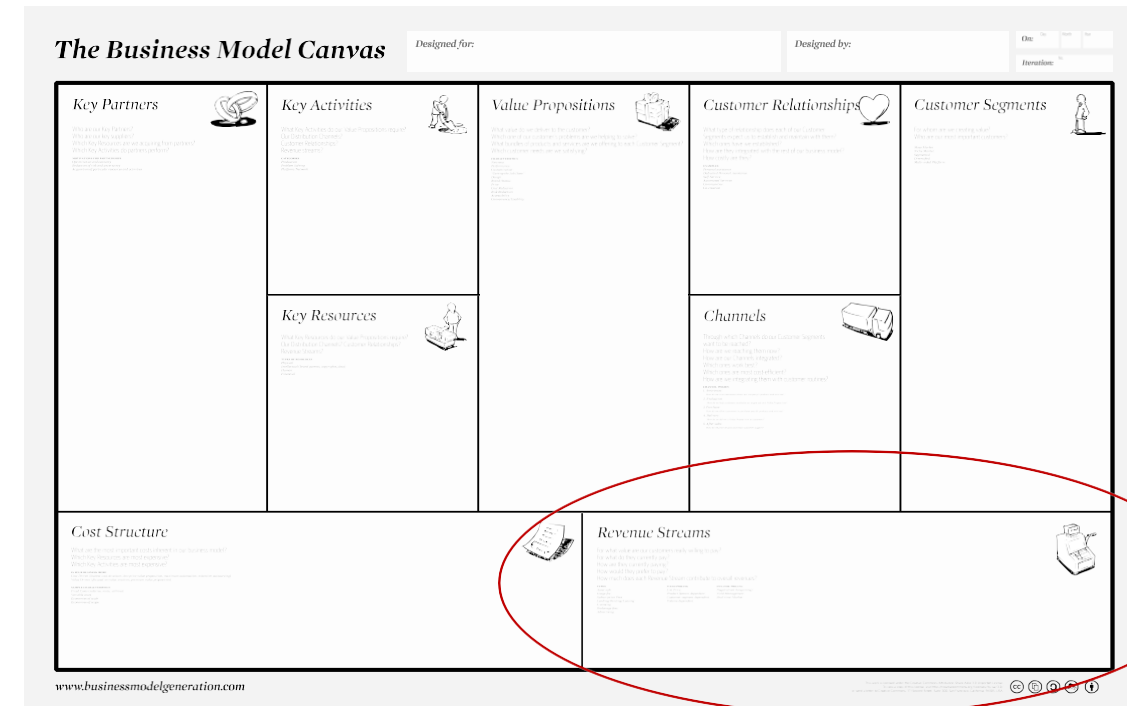
- Cost associated with resource acquisition, performance of activities & development/maintenance of partnerships
- What are the key cost items – fixed vs. Variable, one time vs. Recurrent, economies of scale/scope



Revenue Model

How can you charge for your product / technology / service?

- Technology/IP licensing royalties/franchise fees?
- Product Sales? Core + Accessories?
- Leasing?
- Service Fees ? Subscription vs. transaction-based (pay per use)
- One off sales vs. Recurrent maintenance fees?
- Revenue sharing model with channel partners?
- Cost saving sharing with customers?
- Advertising revenue models – Cost per Impression (CPM), Cost per Click (CPC), Cost per Action or Acquisition (CPA)
- Differentiated Pricing models – product differentiation-based price discrimination (basic vs. premium, “freemium”, upgrade price, etc)



Dissecting BMC

Integrating RHS & LHS

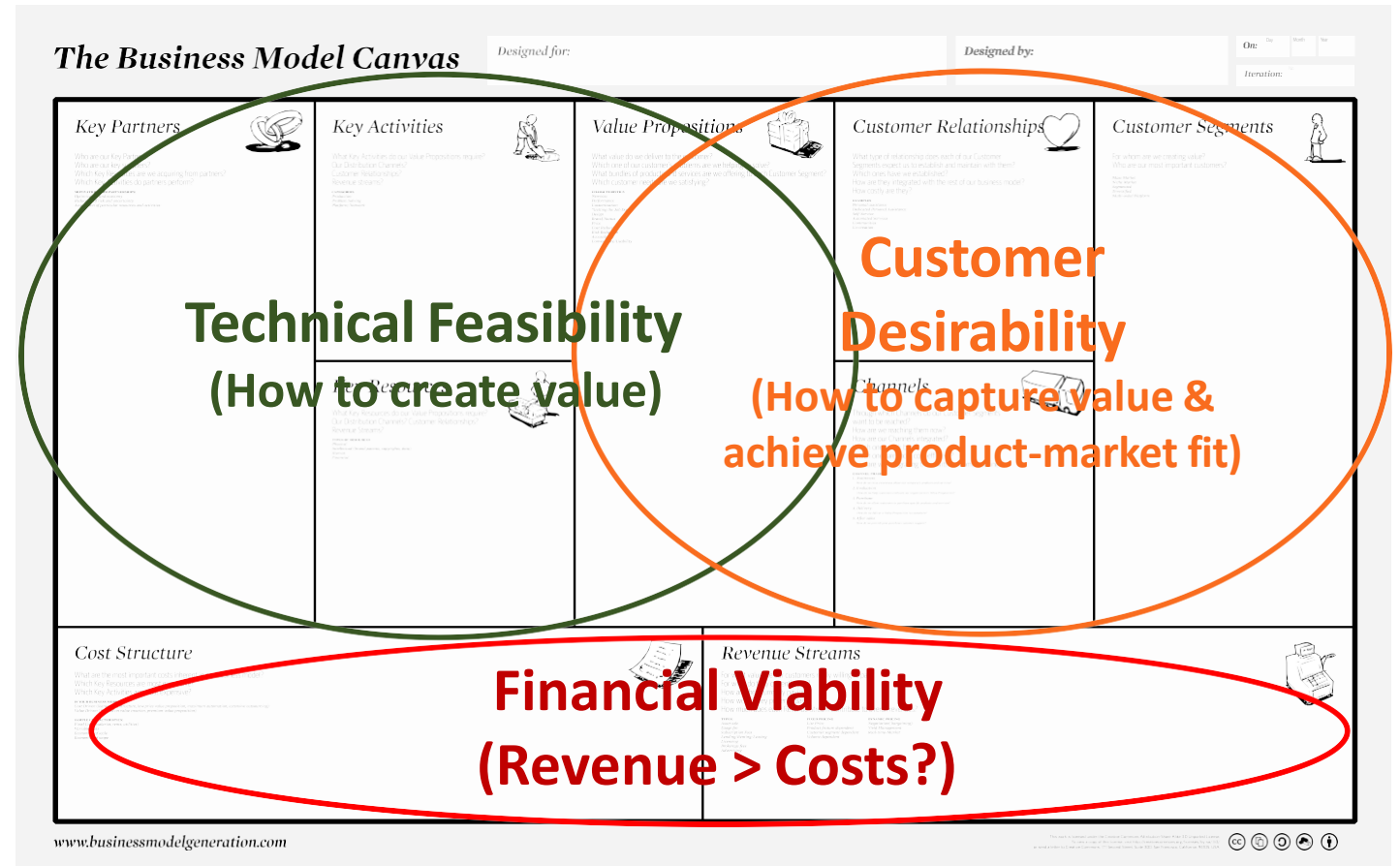
RHS: **Customer Desirability**

- Capturing value → revenue
- Product/Technology-market fit

LHS: **Technical Feasibility**

- Creating value
- How much will it cost?

Financially Viable: Revenue > Costs?



Validation of Business Model

Desirability and Product-Market Fit (VPC)

- Choice of Customer Market Segment
- Choice of Value Proposition for that Segment
- Choice of Product to Deliver Value Proposition to that segment

Business Model Feasibility and Viability

- Technical Feasibility
- Financial Viability

Developing Hypotheses for Market Validation



Developing Hypotheses for Market Validation

Types of Checking for Market / Customers Insights

- **In-person Interview:**
 - Pros: in-depth discussions and interviews;
 - Cons: difficult to arrange (esp. under COVID-19 or customers / users located overseas)
- **Phone Interview**
 - Pros: easier and more flexible to arrange (compared to in-person interviews); in-depth discussions and interviews;
 - Cons: unable to observe the reactions / facial expressions of the interviewees
- **Email / Messaging**
 - Pros: easier and more flexible to arrange (compared to in-person interviews); in-depth discussions and interviews;
 - Cons: unable to observe the reactions / facial expressions of the interviewees
- **Customer Survey / Questionnaire (not recommended)**
 - Pros: can obtain a large amount of (mostly quantitative) data within a short period of time
 - Cons: may have confirmation bias in the design; and quantitative data may not provide much insight on customers' pain points and their experience which your product / technology would like to target

Developing Hypotheses for Market Validation



Hypotheses Structure

Basic Structure

I believe [target market/audience] will [do this action]
for [this reason].

Easily testable

Developing Hypotheses for Market Validation

GOOD vs POOR hypotheses

Services		GOOD Hypotheses	POOR Hypotheses
	(Supply side)	We believe <u>drivers with idle time</u> will drive passengers in their own cars <u>for flexibility and extra income.</u>	We believe drivers will use our technology / product to connect with passengers.
	(Demand side)	We believe <u>people who go out frequently for business or pleasure</u> will use a ride-hailing app for a <u>fuss-free experience from point A to B.</u>	We believe people will use our app to find a ride.

Focus on value / benefits / motivations. Beware of confirmation bias!

Developing Hypotheses for Market Validation



Pre-Interview Planning:

1. Start with one business model and one target segment
2. Start by jotting down a list of names for potential interviewing (through social media and your mentor)
3. Start with what you know
4. Break it down
5. Be specific & not too general and broad (hypotheses)
6. Use a MVP (no matter how “rough” it is) to assist your test
7. Make it measurable (as much as possible) – pass / fail in your hypotheses validation
8. Be ready to navigate along value-chain with different business model

Developing Hypotheses for Market Validation



Interview Skills

- Introduce yourself
- Come to listen and learn
- Ask for open-end question, seeking underlying reasons by asking many "why"s
- *Avoid confirmation bias / assuming you know your interviewees*
- Don't sell your product / technology; listen to identify / validate their problem, needs and pain point
- It's not pitching; it's about validating your hypotheses
- Be open to surprise and critical / negative comments

Developing Hypotheses for Market Validation

Asking Right Questions:



<https://vimeo.com/74338298>

Developing Hypotheses for Market Validation

Additional References:

TALKING TO HUMANS

Success starts with understanding your customers

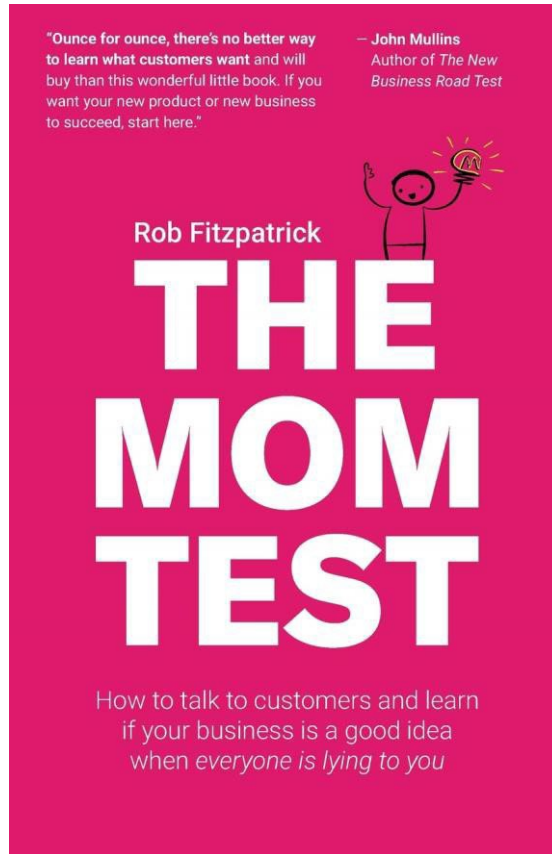
GIFF CONSTABLE
with Frank Rimalovski
illustrations by Tom Fishburne
and foreword by Steve Blank



<https://www.talkingtohumans.com/>

Developing Hypotheses for Market Validation

Additional References:



<http://momtestbook.com/>

Developing Hypotheses for Market Validation



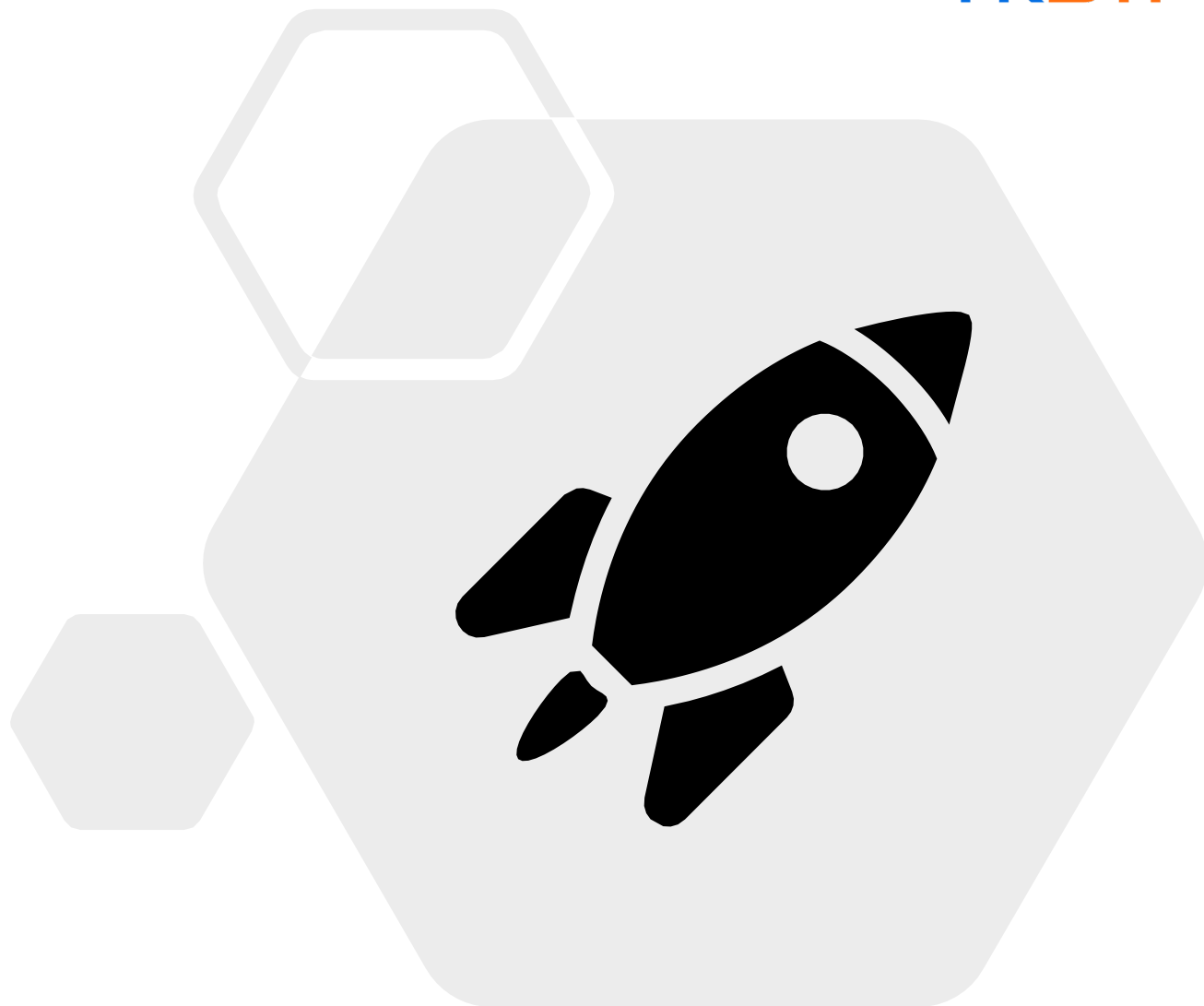
Online Resource: Customer Development Interview

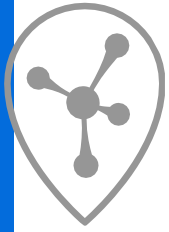
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<http://giffconstable.com/2012/12/12-tips-for-early-customer-development-interviews-revision-3/>

What is Innovation?





INNOVATION TYPES

Relevant
technology, inside
and outside the
industry

New	Technology innovations Serve new customer groups in existing market with new products (new/upgraded product performance) Examples: Tesla, Google, SenseTime, Uber	Disruptive innovations Address new customer needs using incremental/new technology capabilities (new profit models) Examples: DJI, Zoom, Douyin/Tiktok live commerce, ChatGBT
	Cost innovations Improve or replicate existing products at lower cost (value for money) Examples: Xiaomi, Haier, BYD, SANY, Southwest Airlines	Market/Product innovations Meet un-served customer needs using existing technology capabilities (new product experience) Examples: Apple iPhone, Netflix, Amazon/ebay/Tmall, AirBnB
Served		Unserved

Market needs

Innovation – Business Perspective

- “The Purpose of Business is to Create and Keep a Customer.”

- Peter Drucker



Business is about Creating and Capturing Value

**Value Created = Amount Customer is Willing to Pay
for a Product/Service**

Minus

Your Cost of Providing It

Innovation = *New* and *Better* Way to Create and/or Capture Value

"Don't worry about failure;
you only have to be right once."

Drew Houston, Co-founder & CEO
Dropbox



Thank you and Good Luck